The 6:15

SATURDAY · OCTOBER 17, 2026 NO. 26

THE BOARD

CALENDAR — NEXT 10 DAYS (WEEKEND-COMPRESSED)

Tue 10/20	After close: Netflix (cons. EPS ~$0.82) & Tesla (cons. EPS ~$0.43, rev. ~$28.1bn) Q3; NBA season opens, Knicks host 76ers at MSG, 7p ET, NBA Cup title-defense opener.
Thu 10/22	8:30a: initial jobless claims (wk. ended 10/17). Standing: FOMC meets Oct. 27-28 — hike-vs-hold now live after this week's hot CPI/PPI (see Lead); OPEC+ next meets Nov. 1; Nov. 3 midterms carry Trump's self-imposed no-new-Iran-strikes deadline.

No frontier-AI release, rocket launch, election/primary, or VC mega-round verified this run — fifth straight issue skipping that sub-bullet rather than padding it.

METRICS — WEEKEND-COMPRESSED; FRI 10/16 CLOSES UNLESS NOTED, MARKETS SHUT THROUGH SUN

Oil/rates/$	Brent $109.86 (+3.72%, ICE front-month, 4:59p ET) vs. WTI $99.02-$101.41 across feeds (+2.6% to +3.5%, Nov. contract) **(not reconciled)**; spread ~$8.5-10.8, narrowed from ~$11.1 in issue No. 25; 2Y 4.74% / 10Y 5.09% / 30Y 5.43% (Treasury.gov par curve, Fri close, up from 4.17%/4.64%/5.17% on 8/25); DXY 101.78 (-0.06%).
Equities/world	S&P 500 7,659.44 (-1.09%), Nasdaq Composite 26,140.03 (-2.14%), Dow 52,002.41 (-0.34%) [week: S&P -1.95%, Nasdaq -4.48%, Dow +0.67%]; VIX ~20.0 (+21%, Yahoo-delayed, **not cross-checked vs. CBOE this run**); gold $4,181.10 (+0.26%); AAA retail gas $4.3085/gal, down from $4.3333 on 10/14; Nikkei 65,324.29 (+1.39%), Hang Seng 24,186.83 (+0.52%), Shanghai 3,716.28 (+0.24%), FTSE 10,881.90 (+0.38%), DAX 25,622.61 (+0.95%), CAC 7,956.70 (+0.28%).

HORMUZ COUNTERS

Status	"Closed" to commercial shipping per straits.live's framing, Day 230 **(single-sourced)**.
Transits	2 vessels Oct. 11 (latest IMF PortWatch day) vs. 85/day pre-crisis baseline — down from 4/day in issue No. 25 [DEVELOPING; PortWatch lags by design].
Strikes	No clean 24h/running-total count surfaced this run. Houthi strikes today hit Aden's presidential palace & airport in Yemen, not Saudi soil. A tanker was reportedly hit off the Saudi coast near Al Jubail this morning by an unknown projectile, crew evacuated [NEW, **single-sourced**]. Iran's Mehr News, citing UKMTO, separately claims two tankers collided near the Saudi coast and one was hit by an RPG — Tehran state media only, unconfirmed.
Dark tankers	157 of 272 screened tankers (58%) went AIS-dark in the last 24h vs. a 72.8 7-day baseline — straits.live itself flags this as statistically indistinguishable from ambient AIS dropout (~172 expected) **(flag)**.
War-risk/scores	VLCC war-risk cover ~$10.0M/transit, ~30x pre-crisis, figure set Jul. 27, now 82 days stale [continuity]. Crisis Pressure 87±7 "extreme" (down 1pt from issue No. 25); Escalation Forecast 61±11 "high," unchanged.

Methodology: transits (PortWatch, lagged by design), strike reports (press aggregation, overlapping but non-identical windows) and insurance premia (periodic underwriter indications, now stale) measure different things over different periods; never averaged or differenced here. All straits.live figures single-sourced.

TRANSACTIONS

Yankees	Season over, offseason; no free-agent signings or trades confirmed this run [continuity].
Knicks	Preseason concluded 10/15; final results vs. Toronto not verified this run. Open the regular season Tue 10/20.
Northwestern	No. 25 ranked, at Michigan State today (Peacock); kickoff result not available as of this writing [DEVELOPING].

LEAD

HOT PRINTS, HAWKISH FED, HORMUZ CRUDE

September's inflation trio comes in scorching hot, and a Fed that hiked a month ago won't rule out doing it again

September's inflation data arrived this week and all three prints ran hot. CPI, released Wednesday, showed headline inflation at 3.7% year-over-year (+0.6% m/m), both above the roughly 3.6% consensus cited in issue No. 25, with core at 2.6% y/y (+0.3% m/m) — both up from August's 3.4%/2.4% (BLS). [DEVELOPING] Thursday's PPI was worse: headline final-demand producer prices rose 1.3% m/m against a roughly 0.5% consensus, and 6.3% y/y; the closest BLS core measure — final demand less foods, energy and trade — rose 0.5% m/m and 5.0% y/y (BLS). [NEW] Advance retail sales for September rose 0.8% m/m to $745.0bn, also beating a roughly 0.3% estimate, though the control group (ex-auto, ex-gas) posted a statistically insignificant +0.2% (Census). [NEW] Initial jobless claims for the week ended Oct. 10 were 199,000, roughly in line, with continuing claims at 1.710mn (DOL) — the labor side of the ledger, unlike prices, isn't flashing anything unusual. [NEW]

The read: this looks less like a demand-side inflation surprise than a supply-side one landing on a services base that hadn't cooled as much as hoped. [read] PPI's energy and trade components are the likely transmission channel from this month's oil spike — Brent is up from the $104.72 Oct. 9 settle cited in issue No. 25 to Friday's $109.86 close, itself a continuation of the Hormuz/Saudi-strike risk this brief has tracked since early October — and that pass-through has further to run into October's CPI print. [read] Retail sales' control-group softness, by contrast, suggests the consumer isn't

keeping pace with headline spending once autos and gas are stripped out — a split tape, not a clean "hot economy" story. [read]

This lands on a Fed that is hiking, not cutting: the FOMC raised rates a quarter point to 3.75%-4.00% on Sept. 16 and penciled in another hike by year-end. [fact, continuity — supersedes this brief's prior "cut odds" framing, which was tracking a now-stale pricing window] Hike odds for the Oct. 27-28 meeting spiked toward 47% intraday on the CPI/PPI/retail-sales trio, per CME FedWatch-sourced reporting, before settling back to roughly 15-17% after Chair Kevin Warsh's Oct. 16 remarks in Bangkok, where he said "I don't prejudge meetings," described "a synchronous tightening in monetary policy in most places around the world," and called the AI buildout's economic transition "very bumpy." [fact] Goldman Sachs economists read Warsh's comments as signaling an October pause with "a second and final hike" in December. [fact, single-sourced via one bank note]

Equities took the hot prints badly. Wednesday's CPI release drove the S&P 500 down 1.1% to 7,723.59 and the Nasdaq Composite down 1.9% to 26,692.87; stocks never fully recovered, and Friday's cash close was S&P 500 7,659.44 (-1.09%), Nasdaq Composite 26,140.03 (-2.14%, concentrated in chip and AI-infrastructure names — CoreWeave and Micron both cited among the week's worst decliners), and Dow 52,002.41 (-0.34%, cushioned by energy). [fact] For the week: S&P -1.95%, Nasdaq -4.48%, Dow +0.67%. [fact] The 10-year yield closed Friday at 5.09% (Treasury.gov), up from 4.64% on Aug. 25 — a climb consistent with a hiking Fed and a reasserting inflation risk premium, not the cutting cycle this brief tracked over the summer. [fact/read]

Watch: whether Oct. 22's claims print holds near cycle lows — a resilient labor market strengthens the case for a December hike regardless of what the Fed does on Oct. 28 — and whether the Hormuz/Saudi war, the proximate driver of this month's energy pass-through, escalates further before the FOMC meets. [read] A Fed debating whether to hike again, into an oil shock it didn't cause, is a different problem than the one markets were pricing as recently as this summer. [read]

POLITICS

Trump is pushing Saudi Arabia to accept Israeli assistance against the Houthis and, per Oct. 17 reporting, has suggested a Saudi-Israel normalization deal may be closer than previously thought, even as Riyadh maintains that Palestinian statehood remains a precondition. [NEW, fact] This follows Trump's Oct. 11 comment that the U.S. would "look at" joining Saudi Arabia's fight against the Houthis after the deadly King Khalid airport attack, and earlier remarks tying the Houthis' resurgence to Tehran. [fact, continuity] None of this disturbs the Oct. 8 pledge to hold off new U.S. strikes on Iran until after the Nov. 3 midterms, now 17 days out and outside this issue's 10-day calendar window. [fact]

ECONOMICS

Beyond the headline prints: September's retail-sales control group — ex-autos, ex-gas, the cleaner read on underlying demand — rose just 0.2%, with the Census confidence interval including zero, i.e., not statistically distinguishable from flat. [NEW] August retail sales were revised up to 1.3% m/m from an initial 1.1%. [fact] Initial claims' 4-week moving average ticked up slightly to 198,500 (+250),

still historically low; insured unemployment fell to 1.710mn (DOL). [fact] None of the three labor/demand prints argue for weakness — the hot inflation data is a prices story, not a growth story, which is precisely why it reads as a complication for the Fed rather than grounds for a pause on its own. [read]

BUSINESS

Q3 bank earnings were mixed. Morgan Stanley beat: net revenue $20.3bn (vs. ~$19.95bn consensus) and diluted EPS $3.03 (vs. a roughly $2.91-2.94 consensus), driven by equities-trading revenue up 41% y/y to $5.8bn; Wealth Management added $232.4bn in net new assets (SEC 8-K). [fact] BlackRock also beat: diluted EPS $10.57 (vs. $8.43 a year earlier), revenue $7.75bn (vs. ~$7.42bn est.), AUM a record ~$15.5tn. [fact] Bank of America missed: net income fell to $6.9bn from $8.3bn, GAAP EPS $0.91 against a roughly $1.11-1.12 consensus, after a $1.2bn non-tax-deductible OCC/FinCEN settlement charge (~$0.17/share); adjusted EPS was $1.08; revenue still rose 3% to $30.0bn and net interest income rose 8% to $16.4bn (SEC 8-K). [fact] Netflix and Tesla both report Tuesday after the close — see Board.

TECHNOLOGY

This week's equity damage concentrated in chips and AI infrastructure: CoreWeave and Micron were cited among Friday's worst decliners amid investor worry over Chinese semiconductor competition and the pace of debt-funded AI-infrastructure buildout. [NEW, fact, single-sourced via market-wrap coverage] That's a valuation story layered onto the rates story in the Lead — long-duration, high-multiple AI names are the most exposed to a Fed that

just raised rates and won't commit to being done. [read] No frontier-model release was verified this run.

GEOPOLITICS

King Khalid International Airport in Riyadh remains closed under a suspension Saudi civil aviation authorities had running through today, Oct. 17; no reopening was confirmed in sourcing available this run. [DEVELOPING, flag] Saudi Arabia has opened an investigation into its air-defense failures and has vowed a "firm" response; Mecca and Medina imams publicly condemned the airport attacks in Friday sermons. [fact] Separately, the Russia-Ukraine energy truce President Trump announced Oct. 11 has frayed: Ukraine struck Rosneft's Ryazan refinery — about 5% of Russia's total refining throughput, per the IEA — after Kyiv said it was lifting its own refinery-strike restraint over continued Russian attacks on Ukrainian power infrastructure that left 600,000 people without electricity; Russia's defense ministry claims it intercepted the strike. [NEW, fact, single-sourced via secondary reporting]

IRAN & HORMUZ

Today's reported strikes landed in Yemen, not Saudi Arabia — Houthi forces hit Aden's presidential palace and airport, a reminder the group is fighting a two-front war against both the Saudi-led coalition and remnants of Yemen's internationally recognized government. [NEW, fact, single-sourced via straits.live/Al Jazeera] The Al Jubail tanker incident and Iranian state media's uncorroborated collision/RPG claim (see Board) are the only fresh Hormuz-proper developments this run; no update located on Araghchi's long-promised "definitive" response to Washington's counterproposal, a gap carried since issue No. 24. [flag, continuity]

SPORTS

Yankees	Season over, offseason; no free-agent moves confirmed this run.
Knicks	Preseason concluded 10/15; open the regular season and NBA Cup title defense Tue 10/20 at home vs. the 76ers, 7p ET.
Northwestern	No. 25, 4-1, at Michigan State today (Peacock); result not in as of this writing.

Continuity. The "Fed-cut odds" framing carried through issue No. 25 is superseded: the Fed hiked Sept. 16 to 3.75%-4.00% and is now debating a further October or December hike, not a cut; this brief will track hike-odds pricing going forward. The Dec. 11 funding-deadline thread stays retired. Politics and Technology were trimmed to one item each per the weekend format; Economics and Business were kept, against the usual weekend cut, because this week's data broke the macro narrative the Lead covers.

Unverified figures flagged this issue, marked in red above: Friday's VIX +21% read (single-sourced, Yahoo-delayed, not cross-checked against CBOE); the Al Jubail tanker strike and Iran's collision/RPG claim; straits.live's status framing, dark-tanker, war-risk and Crisis Pressure/Escalation Forecast figures; Knicks' final preseason results; Goldman's "pause-then-December-hike" read. Nothing was estimated or filled from memory.